

Monetary Authority of Singapore

SECURITIES AND FUTURES ACT
(CAP. 289)

FREQUENTLY ASKED QUESTIONS ON THE SECURITIES AND FUTURES (REPORTING OF DERIVATIVES CONTRACTS) REGULATIONS 2013

Disclaimer: These FAQs are meant to provide guidance to the industry on MAS' policy and administration of the Securities and Futures Act and regulations. They do not constitute legal advice. If in doubt, MAS expects industry participants to seek independent legal opinion on how they should comply with the requirements under the SFA.

Updated on 30 October 2024

SECURITIES AND FUTURES ACT (CAP.289)

SECURITIES AND FUTURES (REPORTING OF DERIVATIVES CONTRACTS) REGULATIONS 2013 FREQUENTLY ASKED QUESTIONS

Part VIA of the Securities and Futures Act (SFA) sets out the regulatory framework for reporting of over-the-counter (OTC) derivatives contracts, with the detailed requirements in the Securities and Futures (Reporting of Derivatives Contracts) Regulations 2013 (SF(RDC)R). Generally, financial institutions and other persons with significant derivatives activities may be subject to reporting obligations. Specified derivatives contracts which are traded in Singapore and/or booked in Singapore are in scope of the reporting obligations.

Under the reporting obligations, the prescribed information must be reported to a licensed trade repository (LTR) or licensed foreign trade repository (LFTR), within two business days of the execution of the specified derivatives contracts. Specified persons should ensure that the accuracy of information reported to the LTR or LFTR is maintained, and make timely amendments to the reported information where necessary. The list of LTRs and LFTRs can be found on the MAS Financial Institutions Directory.

Note: These FAQs have been updated on 4 September 2024 with relevant questions which are applicable after the commencement of the revised SF(RDC)R[1] [2]. These questions should be read in conjunction with the MAS Guidelines to the Securities and Futures (Reporting of Derivatives Contracts) Regulations 2013[3] (MAS Reporting Guidelines).

[1] Consultation paper on proposed amendments to the SF(RDC)R and responses to consultation: https://www.mas.gov.sg/publications/consultations/2021/consultation-paper-on-proposed-amendments-to-the-securities-and-futures-reporting-of-derivatives-contracts-regulations

[2] Securities and Futures (Reporting of Derivatives Contracts) (Amendment) Regulations 2024: https://sso.agc.gov.sg/SL-Supp/S410-2024/Published/20240510?DocDate=20240510

[3] https://www.mas.gov.sg/regulation/guidelines/guidelines-on-reporting-of-otc-derivatives-contracts-sfa-06a-g01

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(1) IDENTIFYING REPORTING OBLIGATIONS

Q1.1 Who is subject to reporting obligations?

A1.1:

The following persons are subject to reporting obligations:

(a) any bank in Singapore licensed under the Banking Act;

(b) any subsidiary of a bank incorporated in Singapore;

(c) any merchant bank that holds a merchant bank licence, or is treated as having been granted a merchant bank licence, under the Banking Act;

(d) any finance company licensed under the Finance Companies Act;

(e) any insurer licensed under the Insurance Act;

(f) any holder of a capital markets services licence (CMSL); and

(g) any significant derivatives holder (SDH) as set out in regulation 6 of the SF(RDC)R.

However, there are exemptions from reporting if certain criteria are met. Please refer to Q1.2 for more information.

For the purpose of this FAQ, the term "reporting entity" will be used to refer to persons with reporting obligations.

References:

- Section 124 of the SFA
- Regulation 6 of the SF(RDC)R

[A1.1 was amended and effective on 1 July 2021]

Q1.2 Who is exempted from the reporting obligations?

A1.2:

The following persons are exempted from the reporting obligations:

(a) an approved trustee mentioned in section 289 of the SFA;

(b) a licensed trust company that entered into the specified derivatives contract as a trustee;

(c) a subsidiary of a bank incorporated in Singapore –

(i) which has carried on its business or operations for less than 4 consecutive quarters; or

(ii) if the conditions in regulation 10C(4) of the SF(RDC)R are met;

(d) a licensed insurer –

(i) which has carried on its business or operations for less than 4 consecutive quarters; or

(ii) if the conditions in regulation 10C(4) of the SF(RDC)R are met;

(e) a CMSL –

(i) which has carried on its business or operations for less than 4 consecutive quarters; or

(ii) if the conditions in regulation 10A(4) of the SF(RDC)R are met[4]; and

(f) persons specified in the Fourth Schedule to the SF(RDC)R, including the Singapore government, central banks, multilateral development agencies and international organisations.

Regulation 10B of the SF(RDC)R was repealed with effect from 1 October 2019 as it was a temporary exemption granted to licensed fund managers and real estate investment trust

[4] Regulation 10A of the SF(RDC)R incorporated the exemption provided in the Securities and Futures (Reporting of Derivatives Contracts) (Exemption) Regulations 2014, which was repealed with effect from 1 April 2018.

managers to allow a more gradual phasing-in of the reporting commencement dates by CMSLs.

References:

- Regulations 10, 10A, and 10C of the SF(RDC)R
- Fourth Schedule to the SF(RDC)R

Q1.2A Does a CMSL, subsidiary of a bank incorporated in Singapore, or licensed insurer which is exempted from reporting obligations under Regulation 10A or 10C of the SF(RDC)R need to validate their status with MAS?

A1.2A:

There is no requirement for an entity to validate with MAS its reliance on the exemption under Regulation 10A or 10C of the SF(RDC)R. However, if and when requested by MAS, the entity is required to demonstrate that it meets the criteria for the exemption.

References:

- Regulations 10A and 10C of the SF(RDC)R

[Q1.2A was added on 29 November 2021]

Q1.2B What happens when an entity relying on the exemption under Regulation 10A or 10C of the SF(RDC)R subsequently no longer qualifies for the exemption (e.g. exceeds the threshold aggregate gross notional amount)?

A1.2B:

A reporting entity is required to report all reportable derivatives contracts within 2 business days of the execution of the derivatives contracts. Please refer to Q2.1 on reportable derivatives contracts. As such, an entity relying on the exemption in Regulation 10A or 10C of the SF(RDC)R should monitor closely its aggregate gross notional amount of derivatives contracts and be prepared to report the reportable derivatives contracts when it no longer qualifies for the exemption.

For example, Entity A has been monitoring its aggregate gross notional amount of derivatives contracts and relying on the exemption in Regulation 10C of the SF(RDC)R. Subsequently, Entity A noted that its aggregate gross notional amount for the year ending on 30 June 2021 exceeds the $5 billon threshold. Entity A starts reporting all reportable

derivatives contracts, which were executed on or after 1 July 2021, within 2 business days of the execution of the contract.

References:

- Regulation 9, 10A and 10C of the SF(RDC)R

[Q1.2B was added on 29 November 2021]

Q1.3 Who is a significant derivatives holder (SDH)? When does a person become an SDH?

A1.3:

An SDH is a person who meets all of the following conditions:

(a) he is not licensed by MAS (i.e. does not meet paragraphs (a) to (g) of the definition of "specified person" in section 124 of the SFA);

(b) he is a resident in Singapore; and

(c) his aggregate gross notional amount of specified derivatives contracts which are booked or traded in Singapore for the year exceeds $8 billion.

The aggregate gross notional amount for the year is to be assessed on the last day of every quarter. Please refer to Q1.5 for more information on the calculation of aggregate gross notional amount.

When a person meets all the conditions listed above, he –

(1) is required to lodge with MAS a notification in Form 1A within 2 months from the date on which he meets all the conditions; and

(2) will be given 3 months (from the date on which he meets all the conditions) to prepare to meet the reporting obligations. This means that at the end of the 3-month period, he becomes an SDH and his reporting obligations commences.

For example, if a person meets all the conditions on 31 March 2021, (i) he is required to lodge Form 1A with MAS latest by 31 May 2021, (ii) he becomes a SDH on 1 July 2021, and (iii) his reporting obligations as an SDH commence on 1 July 2021.

Form 1A is available on MAS website at this link. Please submit the soft copy of the completed Form 1A via email to webmaster@mas.gov.sg, and attention the email to the Markets, Infrastructures & Intermediaries Department.

References:

- Section 124 of the SFA
- Regulation 6 of the SF(RDC)R

[A1.3 was amended on 4 September 2024]

Q1.3A What are the reporting obligations of an entity that has *just* become an SDH?

A1.3A:

When an entity becomes an SDH, he is required to commence the reporting of (i) all reportable OTC derivatives contracts that he enters into from the date on which he becomes an SDH and (ii) some existing reportable OTC derivatives contracts which he has entered into prior to becoming an SDH. Please refer to Q2.1 for more information on reportable OTC derivatives contracts and Q2.2 for existing contracts which are required to be reported.

For example, if an entity becomes an SDH on 1 July 2021, he is to report all reportable derivatives contracts, which were executed on and after 1 July 2021, within 2 business days of the execution. He is also required to report, within 6 months from 1 July 2021, reportable derivatives contracts that are booked in Singapore and have a remaining maturity of at least one year from 1 July 2021.

References:

- Regulations 5 and 9 of the SF(RDC)R
- Third Schedule to the SF(RDC)R

[Q1.3A was added on 18 August 2021]

Q1.4 When does a person cease to be an SDH?

A1.4:

A person ceases to be an SDH if –

(a) he becomes licensed by MAS (i.e. meets one of paragraphs (a) to (g) of the definition of "specified person" in section 124 of the SFA);

(b) he ceases to be a resident in Singapore; or

(c) his aggregate gross notional amount of specified derivatives contracts which are booked in or traded in Singapore for the year does not exceed $8 billion.

Reference:

- Regulation 6(3) of the SF(RDC)R

Q1.5 How is the aggregate gross notional amount calculated?

A1.5:

The calculation of aggregate gross notional amount is relevant for identifying an SDH under regulation 6 of the SF(RDC)R, and may be relevant to a CMSL, a subsidiary of a bank incorporated in Singapore, and a licensed insurer for assessing applicable exemptions under regulations 10A and 10C of the SF(RDC)R.

The aggregate gross notional amount is calculated by summing the gross notional amount of relevant derivatives contracts for four calendar quarters. The gross notional amount for each quarter is to be assessed on the last day of that quarter. Please refer to Q1.6 for more information on the relevant derivatives contracts.

In the case of an SDH, the calculation of the aggregate gross notional amount includes only derivatives contracts to which the SDH is a party.

In the case of a CMSL for the purpose of regulation 10A, the calculation of the aggregate gross notional amount –

(a) excludes derivatives contracts where a party to the contract is not an accredited investor or institutional investor; and

(b) includes both derivatives contracts to which the CMSL is a party and which the CMSL has executed or caused to be executed as an agent of a party to the contract, as set out in regulation 10A(6).

In the case of a subsidiary of a bank incorporated in Singapore and a licensed insurer for the purpose of regulation 10C, the calculation of the aggregate gross notional amount includes both derivatives contracts to which the bank subsidiary or insurer is a party and which the bank subsidiary or insurer has executed or caused to be executed as an agent of a party to the contract.

For the avoidance of doubt, the calculation of the aggregate gross notional amount includes intra-group transactions but excludes inter-branch transactions.

References:

- Regulations 6, 10A(4)(b), 10A(5), 10A(6), 10C(4), 10C(5) and 10C(6) of the SF(RDC)R

[A1.5 was amended on 18 August 2021]

Q1.6 What derivatives contracts are relevant for the calculation of the aggregate gross notional amount?

A1.6:

A reporting entity is required to include <u>all</u> specified derivatives contracts in the calculation of aggregate gross notional amount. This includes any interest rate, credit, foreign exchange, commodity, and equity derivatives contract that is traded in or booked in Singapore.

References:

- Regulation 5 of the SF(RDC)R

[A1.6 was amended on 30 October 2024]

Q1.6A An FX swap can be seen as a combination of two contracts (i.e. a spot contract and a forward contract, or two forward contracts). How is the FX swap accounted for in the calculation of the aggregate gross notional amount?

A1.6A:

An FX swap is viewed in its entirety. Thus, when calculating the aggregate gross notional amount, the entity only needs to include the notional amount of either leg of the FX swap.

This is different from the operational requirement for the reporting of a FX swap where the two legs of the swap are reported separately. Please refer to Q2.10 for more information on how to report FX swaps.

[A1.6A was added on 29 November 2021]

Q1.7 Do both parties to a derivatives contract need to report?

A1.7:

As reporting obligations are imposed on the reporting entities, if a derivatives contract is entered into between two reporting entities, both parties need to report.

If a derivatives contract is entered into between a reporting entity and a party who is not a reporting entity, only the reporting entity needs to report.

A reporting entity may give consent to the counterparty of a derivatives contract, or any other third party, to report on its behalf.

Reference:

- Section 125 of the SFA

Q1.8 Who is required to report if a derivatives contract is executed or caused to be executed by an agent of a party to the contract?

A1.8:

A reporting entity needs to report a derivatives contract for which it is a party to regardless of whether the contract is executed or caused to be executed by an agent acting on its behalf.

For a reporting entity (Agent A) that has executed or caused to be executed a derivatives contract on behalf of another party (Party B), Agent A –

(a) need not report the contract if Party B is a reporting entity; and

(b) needs to report the contract if Party B is not a reporting entity.

Reference:

- Section 125 of the SFA.

[Q1.8 and A1.8 were amended on 18 August 2021]

Q1.9 Can a reporting entity report derivatives contracts that are outside the scope of the reporting obligations?

A1.9:

A reporting entity should not report derivatives contracts that are not required to be reported. However, it may choose to report derivatives contracts ahead of the reporting commencement dates. Any voluntary reporting should nonetheless be done in accordance with regulatory requirements, and information on the reported contracts should be maintained until expiry or withdrawal from the trade repository.

Q1.10 What happens after a reporting entity is no longer subject to the reporting obligations?

A1.10:

A reporting entity need not continue reporting if it is no longer subject to the reporting obligations. In this case, it should inform the trade repository of the cessation and follow the procedure of the trade repository regarding the cessation.

However, it may wish to consider continuing reporting if it sees itself being subject to reporting obligations again in the future. In this case, it should ensure that reporting be done in accordance with regulatory requirements, and information on the reported contracts be maintained until expiry or withdrawal from the trade repository.

Q1.11 Can reporting entities submit a reportable derivatives contract early before the reporting deadline with incomplete information, and subsequently report the full set of information by the reporting deadline?

A1.11:

Reporting entities should ensure that they have the full set of information required to be reported before submitting a report by its reporting deadline. This is to ensure that the data being reported is complete and accurate.

Where there is any additional information or change in reportable information after the report has been submitted, the reporting entity should submit an updated report within 2 business days of the change.

[A1.11 was added on 15 February 2024]

(2) IDENTIFYING REPORTABLE DERIVATIVES CONTRACTS

Q2.1 What derivatives contracts need to be reported (reportable derivatives contracts)?

A2.1:

The following types of derivatives contracts which are booked in Singapore or traded in Singapore are to be reported:

(a) interest rate derivatives contracts;

(b) credit derivatives contracts;

(c) foreign exchange derivatives contracts;

(d) commodity derivatives contracts; and

(e) equity derivatives contracts.

References:

- Regulation 5 of the SF(RDC)R

[A2.1 was amended on 30 October 2024]

Q2.2 Do derivatives contracts entered into before the reporting entity becomes a specified person need to be reported?

A2.2:

Derivatives contracts which are booked in Singapore with a remaining maturity of at least one year as at the date the reporting entity becomes a specified person need to be reported. A reporting entity needs to report such derivatives contracts within 6 months from the date the reporting entity becomes a specified person.

References:

- Regulation 9 of the SF(RDC)R
- Third Schedule to the SF(RDC)R

[Q2.2 and A2.2 was amended on 30 October 2024]

Q2.3 Do futures contracts, block futures contracts or other exchange-traded derivatives contracts need to be reported?

A2.3:

The reporting regime applies only to over-the-counter derivatives activity. Exchange-traded derivatives contracts, including futures contracts and block futures contracts, are not in the scope of the regime and thus need not be reported.

Q2.4 Are inter-branch transactions exempted from reporting?

A2.4:

Inter-branch transactions are conducted within the same legal entity, and therefore not subject to reporting obligations.

Q2.5 Are intra-group transactions exempted from reporting?

A2.5:

There is no exemption for intra-group transactions. Derivatives contracts entered into between different legal entities within the same group are to be reported. This is regardless of whether the intra-group transaction is entered into as a hedge, including hedging against derivatives contracts that are not reportable. For example, a CMSL enters into a derivatives contract with a person who is not an accredited or institutional investor (this contract is exempt from reporting requirement), and at the same time, the CMSL enters into a separate derivatives contract with its related entity for hedging purpose (this contract is required to be reported).

[A2.5 was amended on 29 November 2021]

Q2.6 Is there an exemption for transactions with certain types of counterparties, e.g. central banks?

A2.6:

Derivatives contracts where a party to the contract is the Government of Singapore, a statutory board, central bank, multilateral development agency, or international organisation are exempted from reporting. The full list of such exempted persons can be

found in the Fourth Schedule to the SF(RDC)R. This exemption applies to derivatives contracts where (i) the reporting entity is a party to the derivatives contract, and (ii) the reporting entity executes the derivatives contract or causes the execution of the derivatives contract as an agent of a party to the contract.

Derivatives contracts entered into between a CMSL and a person who is not an accredited or institutional investor are also exempted from reporting.

References:

- Regulations 10 and 10A of the SF(RDC)R
- Fourth Schedule to the SF(RDC)R

[A2.6 was amended on 29 November 2021]

Q2.7 How should derivatives contracts with rollover of expiry, such as contracts for difference or foreign exchange (FX) accumulators, be reported?

A2.7:

A rollover trade should be considered as a contract with amendments to the expiry date, and should not involve changes to the unique transaction identifier (UTI).

Q2.8 Do derivatives contracts which expired or is terminated within T+2 need to be reported?

A2.8:

There is no exemption for reportable derivatives contracts that are short-term whether by design or due to occurrence of trigger events. For instance, options which have a 2-day expiry and options which are exercised within 2 business days of the execution are both reportable.

However, certain FX contracts have been excluded from the definition of FX derivatives contracts, hence such contracts are not in scope and need not be reported. Please refer to Q2.9 for more information.

Q2.8A Can reporting be done to reflect only the end-of-day consolidated position?

A2.8A:

Reporting is required whenever a reportable derivatives contract is entered into, and not on an end-of-day consolidated position basis. Any reportable derivatives contract that is entered into and terminated or expired within the same day are required to be reported. Similarly, any amendments to any reportable derivatives contracts are required to be reported within 2 business days of the amendments.

However, for certain reportable derivatives contracts, reporting entities may submit a position report, in addition to a report that was already submitted for its execution, amendment, termination or expiry (see Q2.8C).

[Q2.8A was amended on 15 February 2024]

Q2.8B What types of trade lifecycle events are to be reported?

A2.8B:

A reporting entity is required to report any event that results in an amendment, modification, variation or change to any information that has been previously reported. This includes any change to the notional amount or notional quantity of the contract under a notional schedule.

References:

- Regulation 7 of the SF(RDC)R

[A2.8B was amended on 4 September 2024]

Q2.8C For derivatives contracts such as contract for differences (CFDs), are reporting entities allowed to submit a position report that captures the lifecycle of the contract?

A2.8C:

Derivatives contracts such as CFDs typically do not have a specified maturity date, and counterparties to the contract are able to close out the contract partially or fully at any moment in time and over any period of time.

MAS notes that in certain jurisdictions, it is the practice for reporting entities to report contracts such as CFDs in a manner where a report for the position of the derivatives contract is submitted in addition to a transactional report for the derivatives contract. To facilitate harmonisation of practices, for contracts such as CFDs, reporting entities may choose to adopt similar manner, which is to submit a position-level report indicated under "INCP - inclusion to position" under the "Event type" in addition to a report submitted for the transaction, modification, termination or expiry of the contract.

[Q2.8C was added on 15 February 2024]

Q2.9 Under what circumstances does a FX contract need not be reported?

A2.9:

The definition of FX derivatives contracts excludes certain FX contracts (termed "excluded currency contract" in SF(RDC)R), hence such contracts are not in scope and need not be reported. The intent is to exclude from the reporting regime spot FX contracts and FX contracts which arise due to the sale and purchase of securities in a different currency. Spot FX contracts are contracts which are intended to be settled by the actual delivery of the referenced currencies, whether immediately or within a period which is no longer than the period determined by the market convention for delivery of the currency pair.

The definition of "excluded currency contract" can be found in regulation 2 of SF(RDC)R. The table below summarises such FX contracts.

	Contract Type	**Settlement Period**
1	FX contracts settled by actual delivery of underlying currency, involving currency pairs between: • Euro • US Dollar • Japanese Yen • Australian Dollar • Swiss Franc • Hong Kong Dollar • New Zealand Dollar • Singapore Dollar • Norwegian Krone • Mexican Peso	Within 2 business days

2	FX contracts settled by actual delivery of underlying currency, involving any other currency pairs	Within the earlier of – (i) the longer of the two customary spot settlement periods of the currency pair; or (ii) 7 business days.
3	FX contracts for the sole purpose of buying or selling a security denominated in another currency	Within the earlier of – (i) the settlement period of the underlying security; or (ii) 7 business days.

Reference:

- Regulation 2 of the SF(RDC)R

[Q2.9 was amended on 29 November 2021]

Q2.9A What is "business day" under "excluded currency contract"?

A2.9A:

"Business day" is based on Singapore calendar. While a holiday in a foreign jurisdiction may affect the settlement of a contract, it is not MAS' intention to subject a bona fide "excluded currency contract" to reporting requirement.

For example, if the intention of both parties is for the contract for USD/EUR to be settled by actual delivery within 2 business days from the contract execution day, a delay in settlement (e.g. due to a bank holiday in the US) does not affect the regulatory treatment of the contract, i.e. such a contract would still be a bona fide "excluded currency contract", and be excluded from reporting. Conversely, if the intention of both parties is

for actual delivery to take place after 2 business days from execution of the contract, such a contract is not a bona fide "excluded currency contract", and is thus subject to reporting requirement.

Reference:

- Regulation 2 of the SF(RDC)R

[Q2.9A was added on 29 November 2021]

Q2.10 An FX swap can be seen as a combination of two contracts (i.e. a spot contract and a forward contract, or two forward contracts). Do reporting entities need to report the near leg of the swap which is a spot contract or just the forward contract if the near leg is settled within T+2? Should both legs of the swap share the same unique transaction identifier (UTI) and unique product identifier (UPI)?

A2.10:

Yes, a swap contract should be viewed in its entirety, hence the near leg should also be reported regardless of whether it is a spot contract or a forward contract and regardless of whether it is settled within T+2.

It is important that both legs of the swap are reported to the trade repository in a manner that allows MAS to identify that the reported contracts form a single swap contract. Reporting entities can refer to Q4.13 for more information on how the reporting of each leg should be done such that they can be linked together as the same contract. As the FX swap is currently reported as two separate contracts, the two legs of the swap would each need a distinct UTI.

When reporting an FX swap, both legs of the swap should be reported using the same UPI. The "Contract type" for both legs should be reported as "SWAP".

Please note that this is separate from the computation of aggregate gross notional amount regarding FX swaps, which is in Q1.6A.

[Q2.10 and A2.10 were amended on 4 September 2024]

Q2.10A Are spot FX contracts reportable?

A2.10A:

Spot FX contracts are not reportable under the SF(RDC)R because such contracts are not derivatives contracts. However, please also refer to Q2.10 regarding the reporting of FX swaps, which can be seen as a combination of a spot contract and a forward contract.

[Q2.10A was added on 29 November 2021]

Q2.10B How should the valuation of FX swaps be reported?

A2.10B:

For swaps valued as a single transaction, the value of the swap should be reported in the far leg only. For swaps which are valued by the individual legs, the value of each leg of the swap should be reported in their respective legs, as long as the leg is still outstanding at the time of valuation.

[Q2.10B was added on 29 November 2021]

Q2.11 Are equity options which are linked to performance or compensation of employees and directors reportable derivatives contracts?

A2.11:

It is not the intent of MAS for reporting entities to report stock options that they issue to their employees or directors as part of their remuneration package or other similar stock options which are tied to performance. Hence, such options need not be reported.

Q2.12 Are repurchase agreements (Repos) reportable?

A2.12:

It is not the intent of MAS for the definition of "derivatives contracts" to include Repos. As such, Repos need not be reported under the SF(RDC)R.

[Q2.12 was added on 29 November 2021]

Q2.13 For reporting purposes, which asset class should forwards, options or total return swaps referencing bonds be reported under?

A2.13:

For the purposes of reporting, derivatives contracts which are forwards or options referencing bonds should be classified as interest rate derivatives contracts. Derivatives contracts which are total return swaps referencing bonds should be classified as credit derivatives contracts.

[Q2.13 and A2.13 were amended on 10 January 2022]

Q2.14 Is a commodity derivative contract, which is physically settled and has embedded options, reportable?

A2.14:

The definition of "commodity derivatives contract" in the SF(RDC)R excludes derivatives contracts with all of the following characteristics:

(a) the contract is for the sale or purchase of underlying commodities (the "underlying commodities") for the purpose of fulfilling the needs of the day-to-day operations of the business of one or more parties to the contract, whether or not the contract contains a settlement option;

(b) subject to any settlement option that may be agreed amongst the parties to the contract, the seller of the underlying commodities is required to deliver the underlying commodities; and

(c) subject to any settlement option that may be agreed amongst the parties to the contract, the buyer of the underlying commodities is required to take delivery of the underlying commodities.

If the above conditions are met, such contracts are not considered derivatives contracts under the SF(RDC)R and hence are not subject to reporting obligations. The exclusion is not dependent on whether the contract has embedded options.

As explained in the response to feedback received on the Consultation Paper on Proposed Amendments to the Securities and Futures (Reporting of Derivatives) Regulations[5], the

[5] Please refer to response to feedback received published in March 2018 at this link.

intent is to exclude derivatives contracts on commodities which are for the purpose of fulfilling the needs of the day-to-day operations of a business from reporting obligations under the SF(RDC)R. However, this exclusion does not extend to derivatives contracts which are entered into for the purposes of hedging financial risks, i.e. such derivatives contracts are subject to reporting obligations.

References:

- Regulation 2 of the SF(RDC)R

[Q2.14 was added on 29 November 2021]

(3) REPORTING NEXUS

Q3.1 When is a derivatives contract considered to be booked in Singapore?

A3.1:

A derivatives contract is considered to be booked in Singapore if the derivatives contract exposure is reflected on the balance sheet or the profit and loss accounts of a person whose place of business is in Singapore.

Reference:

- Regulation 2 of the SF(RDC)R

Q3.2 When is a derivatives contract considered to be traded in Singapore?

A3.2:

Generally, a derivatives contract is considered to be traded in Singapore if a contract is executed by a trader who is employed in Singapore (Singapore Trader). Please refer to Q3.3 for more information on what a "Singapore Trader" means.

Examples of executing a contract could include the offering of quotes or making decisions to enter into a contract. When several traders are involved in the execution of a contract, the reporting entity should assess whether any trader is a Singapore Trader. As long as one of the traders is a Singapore Trader, the reporting entity should treat the contract as "traded in Singapore". The Singapore Trader should also be able to address any queries from MAS relating to details of the trade.

The same principle applies regardless of the mode of execution, whether electronically or otherwise. For instance, in the case of algorithmic trading or market-making on an electronic platform, the reporting entity should assess whether a Singapore Trader is responsible for the contract executed.

Reference:

- Regulation 2 of the SF(RDC)R

Q3.3 When will a trader be considered a Singapore Trader for the purposes of the definition of "traded in Singapore"?

A3.3:

If a reporting entity is unable to clearly identify whether the trader is not employed in Singapore, the reporting entity should report derivatives contracts which are entered into by the trader from the 31st day, if the trader is in Singapore for more than 30 days.

In the case where a trader is seconded to the reporting entity, if it is clear that his place of employment is in Singapore during that secondment period, all derivatives contracts entered into by the trader during his secondment in Singapore needs to be reported. Otherwise, the reporting entity should report derivatives contracts entered into by the trader from the 31st day onwards if the trader is in Singapore for more than 30 days.

In the case where a trader is seconded out of Singapore, derivatives contracts entered into by the trader would not be deemed as "traded in Singapore".

Reference:

- Regulation 2 of the SF(RDC)R

Q3.4 How should the "trader location" field be filled in?

A3.4:

The "trader location" field reflects the location of the trader who executes the contract, and is meant to correspond with the "traded in Singapore" concept.

As long as one of the traders executing the contract is a Singapore Trader, the reporting entity should treat the contract as "traded in Singapore", and indicate "Singapore" under the "trader location" field.

Reference:

- First Schedule to the SF(RDC)R

Q3.5 The SFA and the Securities and Futures (Trading of Derivatives Contracts) Regulations 2019 (SF(TDC)R) require certain entities to execute certain derivatives contracts on an organised market (trading mandate). One criterion for the application of the trading mandate is that "*each party to the derivatives contract executes the derivatives contract through that party's office located in Singapore (whether a head office or branch office)*". What is the difference between this criterion in the SF(TDC)R and the concept of derivatives contracts which are "traded in Singapore" in the SF(RDC)R?

A3.5:

As stated in SF(TDC)R, the criterion for the application of the trading mandate is based on the location of the office that an individual trader is representing when executing a derivatives contract, rather than the individual trader himself. In contrast, the determination of whether a derivatives contract is "traded in Singapore" for the purposes of the SF(RDC)R, depends on – (i) whether the individual trader's place of employment is located in Singapore, or (ii) whether the trader is physically in Singapore at the time of the execution of the contract and conducts or is authorised to conduct, on behalf of a specified person, activities relating to the execution of derivatives contracts in Singapore for 30 days or longer prior to the execution of the contract.

The following examples illustrate the differences between the SF(TDC)R criterion and the SF(RDC)R:

(a) Example 1 – Trader A, who is employed by Bank A (Singapore branch) and is located in Singapore, executes a contract in Singapore through a trading account associated with Bank A (Singapore branch). This contract meets the SF(TDC)R criterion and is also a derivatives contract which is traded in Singapore for the purposes of the SF(RDC)R.

(b) Example 2 – When trading after Singapore hours, Bank B (Singapore branch) relies on Trader B who is employed by its London office and is based in London. Trader B executes a contract in London through a trading account associated with Bank B (Singapore branch). This contract meets the SF(TDC)R criterion because the trading account used is associated with Bank B (Singapore Branch). However, the contract is not traded in Singapore for the purposes of the SF(RDC)R because Trader B is neither employed in Singapore nor physically in Singapore.

Please also refer to Q3.2 and Q3.3 for more information on the definition of "traded in Singapore" under the SF(RDC)R.

Reference:

- Regulation 2 of the SF(RDC)R

[Q3.5 was added on 29 November 2021]

(4) INFORMATION TO BE REPORTED

Q4.1 What information needs to be reported?

A4.1:

Information to be reported is set out in the First Schedule to SF(RDC)R. Any subsequent amendment, modification, variation or change to that information needs to be reported.

References:

- Regulation 7 of the SF(RDC)R

[A4.1 was amended on 30 October 2024]

Q4.2 Where a counterparty to the derivatives contract has a new legal entity identifier (LEI), does the reporting entity need to amend the reported trade to reflect the change?

A4.2:

Yes, the change in the counterparty LEI has to be reflected as long as the reported trade is still an open position.

Q4.3 How frequently should a reporting entity update the valuation fields?

A4.3:

The valuation fields should be updated as and when the valuation of a derivatives contract is updated. Reporting entities should take guidance from the Guidelines on Risk Management Practices – Market Risk in formulating their valuation policies, including how frequently valuations should be updated to reflect the mark-to-market/model value. Where valuation of a contract is conducted multiple times within the same day, the reporting entity could choose to update the valuation fields for the contract once using the latest valuation changes for that day.

[A4.3 was amended on 29 November 2021]

Q4.4 Can a bank in Singapore report counterparty information to meet its reporting obligations?

A4.4:

Prior to 8 October 2018, banks in Singapore were required under the Banking Act to obtain consent from their counterparties before they can report counterparty information for the derivatives contracts. A relief to defer reporting of counterparty information under certain conditions has been provided for. Please refer to Q5.2 and Q5.3 for more information.

Where a bank has relied on the relief to defer reporting of counterparty information, the counterparty information in relation to these derivatives contracts is to be reported (unmasked) by 1 July 2019. Such reporting of counterparty information is only necessary for derivatives contracts that remain outstanding as of 1 July 2019.

Since 8 October 2018, banks in Singapore need not obtain consent from counterparties under the Banking Act in order to report counterparty information under MAS' reporting regime, including for the requirement to unmask by 1 July 2019. However, banks in Singapore are required to obtain consent from counterparties for the purposes of reporting counterparty information under foreign reporting regimes.

References:

- Section 125(6) of the SFA
- Regulation 11 of the SF(RDC)R
- Fifth Schedule to the SF(RDC)R

Q4.5 Are precious metals derivatives contracts considered foreign exchange or commodity derivatives contracts?

A4.5:

Precious metals are a type of commodity as defined under the SFA. Information to be reported for commodity derivatives contracts is found in the First Schedule to the SF(RDC)R.

References:

- Section 2 of the SFA
- First Schedule to the SF(RDC)R

Q4.6 If a reporting entity is a branch, which LEI should it use when reporting derivatives contracts?

A4.6:

Reporting entities should report the LEI of the head office. Similarly, where a reporting entity's counterparty is a branch, the reporting entity should report the LEI of its counterparty's head office.

[A4.6 was amended on 30 October 2024]

Q4.7 If a derivatives contract is amended for the purpose of implementing interest rate benchmark reforms, would the amendment be subject to reporting requirements?

A4.7:

There are multiple ways for counterparties to implement the benchmark reforms to transition away from interbank offered rates (IBORs) and other key interest rates such as SOR. Depending on the changes made to the affected derivatives contracts, the changes may or may not be reportable under the SF(RDC)R.

Where a derivatives contract is amended to include fallback provisions such as a reference to fallback rates (e.g. via adherence to the ISDA 2020 IBOR Fallbacks Protocol), such a change is not reportable under the SF(RDC)R.

However, where the contractual terms being amended are data fields that are required to be reported under the SF(RDC)R, the changes are to be reported within 2 business days from the amendment. For example, where (i) counterparties agree to amend the derivatives contract to replace the original reference rate with another reference rate (e.g. from USD LIBOR to SOFR, from SOR to SORA), or (ii) a fallback provision is triggered such that the original reference rate is replaced with the fallback rate[6], such a change is required to be reported. There are no specific formatting requirements when reporting the change of the reference rate and reporting entities may continue to report the reference rate as per their current practice. Further, if there are also changes to other contractual terms (e.g. payment frequency, data count), whether due to (i), (ii) or other reasons, such changes are also reportable.

[6] Where the fallback provisions of a derivatives contract have been triggered, this would impact the economics of the contract. Thus, reporting entities are to report the change and update the relevant data fields.

Instead of amending contractual terms to implement the benchmark transition, counterparties may also terminate an affected derivatives contract and enter into a new derivatives contract. Terminating a previously reported derivatives contract and entering into a new derivatives contract are both subject to reporting requirements under the SF(RDC)R.

References:

- Regulation 7 of the SF(RDC)R
- First Schedule to the SF(RDC)R

[A4.7 was amended on 29 November 2021]

Q4.8 Where a counterparty has a sub-agreement that is different from the master agreement's credit support annex (CSA), how should the "collateralisation category" data field be reported?

A4.8:

In such cases, under the "collateralisation category", the reporting entity should report the category reflecting the collateral agreement in the sub-agreement between the counterparties to the derivatives contract.

[Q4.8 was added on 15 February 2024]

Q4.8A How should reporting entities report collateral and margin information if there is no collateral agreement between the counterparties to the derivatives contract?

A4.8A:

If there is no collateral agreement between the counterparties to the derivatives contract, or the collateral agreement stipulates that no collateral (neither initial margin nor variation margin) must be posted with respect to the derivatives contract, reporting entities should report "UNCL" in the "Collateralisation category" field. The other collateral and margin data fields would not be applicable for reporting.

[Q4.8A was added on 31 May 2024]

Q4.8B Can reporting entities report collateral and margin information at a portfolio level?

A4.8B:

Reporting entities are allowed to report collateral and margin information at a portfolio level if the derivatives contract is a part of a set of contracts that are margined together (either on a net or a gross basis). Such a margining arrangement may occur when risk management and margin calculation are performed at a group level, and reporting entities are not able to identify within a pool of collateral the amount relating to the contracts reportable under the MAS reporting regime.

Reporting entities which are reporting collateral and margin information at a portfolio level should report "True" in the "Collateral portfolio indicator" field, and report the other collateral and margin fields (where relevant) on a portfolio basis. Reporting entities should also refer to the MAS Reporting Guidelines for further details on reporting collateral and margin information.

[Q4.8B was added on 31 May 2024]

Q4.9 Reporting entities who are acting as agents to a reportable derivatives contract, and are not themselves counterparties to the derivatives contract, may not have access to collateral and margin information. Are such reporting entities still required to report collateral and margin information?

A4.9:

Reporting entities who are executing a reportable derivatives contract as an agent of a party to the derivatives contract are exempted from reporting collateral and margin information, if they are not a party to the derivatives contract and it is not reasonably expected of them to have access to such collateral and margin information in their role as a facilitator to the derivatives contract.

This exemption does not apply to a fund/REIT manager executing a reportable derivatives contract for a portfolio that it manages, as the manager are expected to have access to the collateral and margin information of its portfolio in their role as the manager.

However, in circumstances where a fund/REIT manager is executing a reportable derivatives contract as an agent for a portfolio that it does not manage (e.g. where the trade is routed to the fund/REIT manager as part of its group's operational arrangements),

the fund/REIT manager can be viewed to be acting only as an agent facilitating the contract and may rely on the exemption from reporting the collateral and margin information of the reportable derivatives contracts.

[Q4.9 was added on 15 February 2024]

Q4.10 When re-reporting a previously reported derivatives contract following the commencement of the revised SF(RDC)R, are reporting entities required to generate a new UTI that complies with the revised SF(RDC)R?

A4.10:

For re-reporting, the reporting entities should use the same UTI as the previously reported derivatives contract.

[Q4.10 was added on 15 February 2024]

Q4.10A Does a reporting entity need to re-report all previously reported derivatives contracts following the commencement of the revised SF(RDC)R on 21 October 2024?

A4.10A:

Reporting entities are required to re-report all outstanding derivatives contracts previously reported before 21 October 2024, and has a maturity of at least 6 months as at 21 October 2024, in accordance with the revised SF(RDC)R.

However, if there are changes to the reportable data fields of any of the outstanding derivatives contracts, these changes must be reported within 2 business days of the change in the format under the revised SF(RDC)R, even though the derivatives contracts have less than 6 months maturity as at 21 October 2024.

[Q4.10A was added on 4 September 2024]

Q4.11 When submitting a report for a previously reported derivatives contract following the commencement of the revised SF(RDC)R, are reporting entities required to submit information that was not previously captured or reported?

A4.11:

When submitting a report for a previously reported derivatives contract (e.g. for re-reporting, for an amendment or termination), reporting entities are exempted from providing new information if it fulfills each of the following criteria:

(i) the reporting entity was not required to report the information under the old regulations (i.e. regulations under the SF(RDC)R prior to 21 Oct 2024); and

(ii) the reporting entity had not recorded the information at the time of execution of the derivatives contract.

These may include for example, collateral information that the reporting entity was not previously required to report and had not recorded during the time of execution of the derivatives contracts.

[Q4.11 was amended on 30 October 2024]

Q4.12 How should reporting entities report under the data field "Reporting obligation of specified person", if the specified person has multiple jurisdictional reporting obligations?

A4.12:

MAS notes that reporting entities may have operational challenges with regards to reporting the data field "Reporting obligation of specified person". Considering this feedback, MAS has clarified in the MAS Reporting Guidelines that currently, it does not expect specified persons to report that data field. MAS will consult with the industry before providing further guidance to any changes to this expectation in the future.

[Q4.12 was added on 15 February 2024]

Q4.13 When should reporting entities populate the data fields "FX swap link ID" and "Package identifier"?

A4.13:

Reporting entities should populate the "FX swap link ID" data field to link the two legs of a reported FX swap. The data field "Package identifier" should be populated to identify other types of packaged trades to connect two or more derivatives contracts that are negotiated together under a single economic agreement (e.g. a swaption) but are reported separately.

Reporting entities are allowed to populate both "FX swap link ID" and "Package identifier" data fields in a single reportable derivatives contract (e.g. in a case where an FX swap is part of a package).

[Q4.13 was added on 15 February 2024]

(5) CROSS-BORDER ACTIVITIES

Q5.1 If a derivatives contract is subject to reporting in multiple jurisdictions, can the trade be taken to have been reported in Singapore as long as it has been reported in a foreign jurisdiction?

A5.1:

As long as a derivatives contract is subject to reporting obligations in Singapore, it has to be reported to a trade repository licensed by MAS. For example, if a reporting entity is a Singapore branch of a foreign incorporated entity and the reporting entity has a reportable derivatives contract that is already included in its Head Office's reporting under a foreign jurisdiction's reporting obligations, the same derivatives contract is still required to be reported to a trade repository licensed by MAS.

In the case where the Head Office has reported the derivatives contract to a trade repository licensed by MAS, the trade repository should be made aware that the derivatives contract is also being reported pursuant to reporting obligations in Singapore.

Q5.2 How should a reporting entity comply with reporting obligations if it is prevented from reporting customer or counterparty information under foreign laws?

A5.2:

There are two main scenarios where a reporting entity may defer the reporting of customer or counterparty information.

> **Scenario A**: A jurisdiction allows a reporting entity to report customer or counterparty information only with the consent of its customer or counterparty, and the reporting entity had made reasonable efforts to obtain the necessary consent but was unable to obtain it by the time reporting is due. The reporting entity is to continue trying to obtain the necessary consent, and report the customer or counterparty information when it is obtained.
>
> The relief in Scenario A is only applicable for a derivatives contract entered into before 1 January 2019[7]. The reporting entity is required to report customer or counterparty information by 1 July 2019, unless the reporting entity continues to be subject to the requirement to seek consent and was unable to obtain the

[7] There is no relief provided for derivatives contracts entered into on or after 1 January 2019.

necessary consent despite having made reasonable efforts. In this case, the reporting entity is to report the customer or counterparty information within a month from the date that (i) the necessary consent is obtained, or (ii) the requirement to seek consent is no longer applicable to the derivatives contract in question, whichever is earlier.

Scenario B: A jurisdiction specified in the Fifth Schedule of the SF(RDC)R prohibits a reporting entity from reporting customer or counterparty information at the time reporting is due.

If the law of the applicable jurisdiction subsequently no longer prohibits the reporting of customer or counterparty information relating to the derivatives contract in question, the reporting entity is required to report customer or counterparty information by 1 July of the following year. For example, where such a change in law occurs in 2018, the reporting entity is required to report customer or counterparty information by 1 July 2019. However, the reporting entity may continue to defer the reporting of customer or counterparty information if the effect of the change in law is such that the reporting entity is allowed to report customer or counterparty information only with the consent of its customer or counterparty, and the reporting entity had made reasonable efforts to obtain the necessary consent but was unable to obtain it. In this case, the reporting entity is to report the customer or counterparty information within a month from the date that (i) the necessary consent is obtained, or (ii) the requirement to seek consent is no longer applicable to the derivatives contract in question, whichever is earlier.

In all of the above-described circumstances, reporting of customer or counterparty information is only required for derivatives contracts which remain outstanding as at the applicable reporting deadline.

Please also refer to Q5.4 for more information on the requirement for reporting entities to seek customer or counterparty consent.

References:

- Regulations 11, 11A and 11C of the SF(RDC)R
- Fifth Schedule to the SF(RDC)R

Q5.3 What happens if a reporting entity needs some time to adapt to changes in foreign laws that previously prohibited the reporting of customer or counterparty information?

A5.3:

If a reporting entity is relying on the deferment relief provided for in Scenario B in A5.2, and the jurisdiction subsequently changes its law such that the reporting entity is no longer prohibited from reporting customer or counterparty information, a transition period is provided for the reporting entity dealing with the change. A reporting entity may continue to enter into derivatives contracts and defer the reporting of customer or counterparty information until 1 July of the year following the change in law. For instance, where the change in law occurs in 2018, the reporting entity may continue to enter into derivatives contracts until 1 July 2019 with deferred reporting of customer or counterparty information.

However, the reporting entity is required to report customer or counterparty information by the end of the transition period (i.e. 1 July 2019 in the given example), unless the effect of the change in law is such that the reporting entity is allowed to report customer or counterparty information only with the consent of its customer or counterparty, and the reporting entity had made reasonable efforts to obtain the necessary consent but was unable to obtain it. In this case, the reporting entity is to report the customer or counterparty information within a month from the date that (i) the necessary consent is obtained, or (ii) the requirement to seek consent is no longer applicable to the derivatives contract in question, whichever is earlier.

In all of the above-described circumstances, reporting of customer or counterparty information is only required for derivatives contracts which remain outstanding as at the applicable reporting deadline.

Please also refer to Q5.4 for more information on the requirement for reporting entities to seek customer or counterparty consent.

References:

- Regulations 11B and 11C of the SF(RDC)R
- Fifth Schedule to the SF(RDC)R

Q5.4 How may a reporting entity demonstrate that it has undertaken reasonable efforts to obtain the necessary consent of its customer or counterparty?

A5.4:

A reporting entity should establish written policy and procedures as well as internal controls to seek the requisite consent from its customer or counterparty. Such policy and procedures should provide guidance on when or how often to request or to repeat requests for consent, e.g. upon changes in law, or when the customer or counterparty requests to enter into new trades, or on a certain time frequency.

The policy and procedures should also provide guidance on the actions that a reporting entity should take towards a customer or counterparty who has yet to provide the requisite consent or refuses to provide consent, e.g. to suspend trading relationships until consent is obtained.

References:

- Regulations 11 and 11C of the SF(RDC)R

Q5.5 Do the exemptions to report customer or counterparty information in Regulation 11 to 11C of the SF(RDC)R apply to derivatives contracts which are booked and/or traded in Singapore?

A5.5:

Yes, the exemptions in Regulation 11 to 11C of the SF(RDC)R are applicable to derivatives contracts which are booked in Singapore, traded in Singapore or both.

References:

- Regulations 11 to 11C of the SF(RDC)R

[Q5.5 was added on 29 November 2021]

(6) UTI AND UTI GENERATION

Q6.1 Can a reporting entity use an internally generated UTI if it is unable to obtain the final UTI in time?

A6.1:

Where a reporting entity is unable to obtain the final-UTI in time to meet its reporting obligation deadline, the reporting entity may, as an interim measure, report an internally generated interim-UTI in a proper format that is identifiable by the reporting entity.

[Q6.1 was added on 15 February 2024]

Q6.2 How should a reporting entity update the interim-UTI to the final-UTI?

A6.2:

When updating a previously reported derivatives contract with the final-UTI, a new report with the final-UTI should be submitted for the derivatives contract. The interim-UTI should be indicated in the reportable field "prior UTI".

The previous report with the interim-UTI should be exited using the Action type "EROR", whereas the updated report with the final-UTI should use the Action type "NEWT" and Event type "TRAD". The "Reporting timestamp" data field should be reported with the timestamp for the updated report.

[A6.2 was updated on 4 September 2024]

Q6.3 Should a reporting entity continue to make efforts to obtain the final-UTI after the derivatives contract has expired or is terminated?

A6.3:

There is no need for the reporting entity to obtain the final-UTI when the contract has expired or is terminated. However, MAS expects that such cases occur only in exceptional circumstances, and that reporting entities should ensure that they put in place proper policies and procedures to obtain the final-UTI and to report it on as soon as it becomes available.

[Q6.3 was added on 15 February 2024]

Q6.4 For derivatives contracts executed by counterparties with a reporting nexus across multiple jurisdictions, how should a reporting entity determine the UTI generator under the UTI waterfall?

A6.4:

Where there are multiple parties with reporting obligations, specified persons should only consider the two counterparties to the derivatives contract for the purposes of determining the UTI generator under the MAS UTI waterfall. In the case of foreign branches, specified persons should look at the home jurisdiction of the head office as the counterparty to the derivatives contract.

[Q6.4 was added on 15 February 2024]